2026-27 Budget Proposal



PORTLAND
Public Schools

Presented to the Portland Public Schools Budget Committee, April 28, 2026

Agenda

- Superintendent's Budget Message
- Share Planning Process & Considerations
- Review Process & Roles
- Share Proposed Budget Overview
- Discussion
- Next Steps

TOGETHER, WE RISE

WITH **EXCELLENCE.** WITH **PURPOSE.**

Superintendent Budget Message

Superintendent Budget Message





TOGETHER, WE RISE

WITH **EXCELLENCE.** WITH **PURPOSE.**

Planning Process & Considerations

2026-27 Budget Development Framework

To ensure the 2026-27 budget aligns with student success and fiscal stewardship, we utilized a collaborative process integrating three core pillars:

Strategic Foundation

Goal Alignment

DCIP: Four goal areas driving outcomes.
Portrait: Long-term vision for skills.

Design & Innovation

Collaborative Teams

Design Workgroup: Principals & Leads.
Early Entry: Principal engagement early.

Community Informed

Inclusive Investments

RESJ Focus: Advancing racial equity.
Input: Feedback from students & families.



Strategic Highlights

Academic Program Design Workgroup

- Collaboration between school and central office leaders focused on breaking down silos and finding efficiencies to honor our commitment to equity.

Early Engagement

- Ongoing work across schools and departments to identify reductions and multiple engagement sessions with community in January. Principals also had an opportunity to meet with Site Councils.

Mission Stewardship

- Protecting the most vulnerable students through evidence-based educational strategies.

District Continuous Improvement Plan

Four Goal Areas



Equity Lens in Planning

PPS is committed to transparent and student-centered decisions.

Our district continues to direct resources based on student need and uses data and community input to inform decisions.

Key questions guided this process:

- ➔ **Who is impacted?**
- ➔ **Does this recommendation reduce disparities?**

As the District faces difficult decisions to close the budget gap, it is critical we hear from communities to inform planning for future school years.



TOGETHER, WE RISE

WITH **EXCELLENCE.** WITH **PURPOSE.**

Process & Roles

Budget Process

BUDGET BUILDING
April - June
Propose Budget
CBRC Report
Approve Budget
Public Comment & Hearing
TSCC Certify Budget
Adopt Budget

FISCAL NEW YEAR
July - September
Implement & Monitor Budget
Close & Audit Prior Year



BUDGET PLANNING
January - March
Budget Worksessions
Conduct Budget Outreach
Finalize Priorities
Implement Workforce Plan

BUDGET AWARENESS
October - December
Adopt Budget Calendar
Forecast Enrollment & Finances
Conduct Needs Assessment
Engage with Communities

Roles in Budget Development

Implementation and Management

Superintendent
Define vision and priorities;
set and staff organizational structure;
propose budget

Cabinet Leaders
Inform and enable vision and priorities; lead coordinated initiatives

Cross-Functional Teams
Coordinate process and produce deliverables

Principals
Inform priorities; implement staffing and budget



Feedback and Inputs

Board of Education
Set direction; serve as Budget Committee;
approve levies and appropriations;
receive public comment

Community Budget Review Committee
Review budget and local option levy;
make recommendations to the Board

Tax Supervising and Conservation Commission
Certify approved budget and tax levies

Students, PPS Teams, Community Members, Partners
Inform priorities, elevate insights and impacts

TOGETHER, WE RISE

WITH **EXCELLENCE.** WITH **PURPOSE.**

Proposed Budget Overview

TOGETHER, WE RISE

WITH **EXCELLENCE.** WITH **PURPOSE.**

Budget Assumptions

Financial Pressures Contributing to Our Shortfall



Rising Costs

Inflation has resulted in higher costs of goods and services.

We have invested in our employees' compensation, benefits, and teacher planning time. PERS costs are also rising.

Our student needs continue.



Limited Revenue

Our state dollars continue to fall short of the costs to operate our schools.

We have less special revenue, and no reserve funds to support operations beyond the 5% minimum fund balance.



Declining Enrollment

We have fewer students and the same number of buildings.

Our funding is dependent upon number of students.

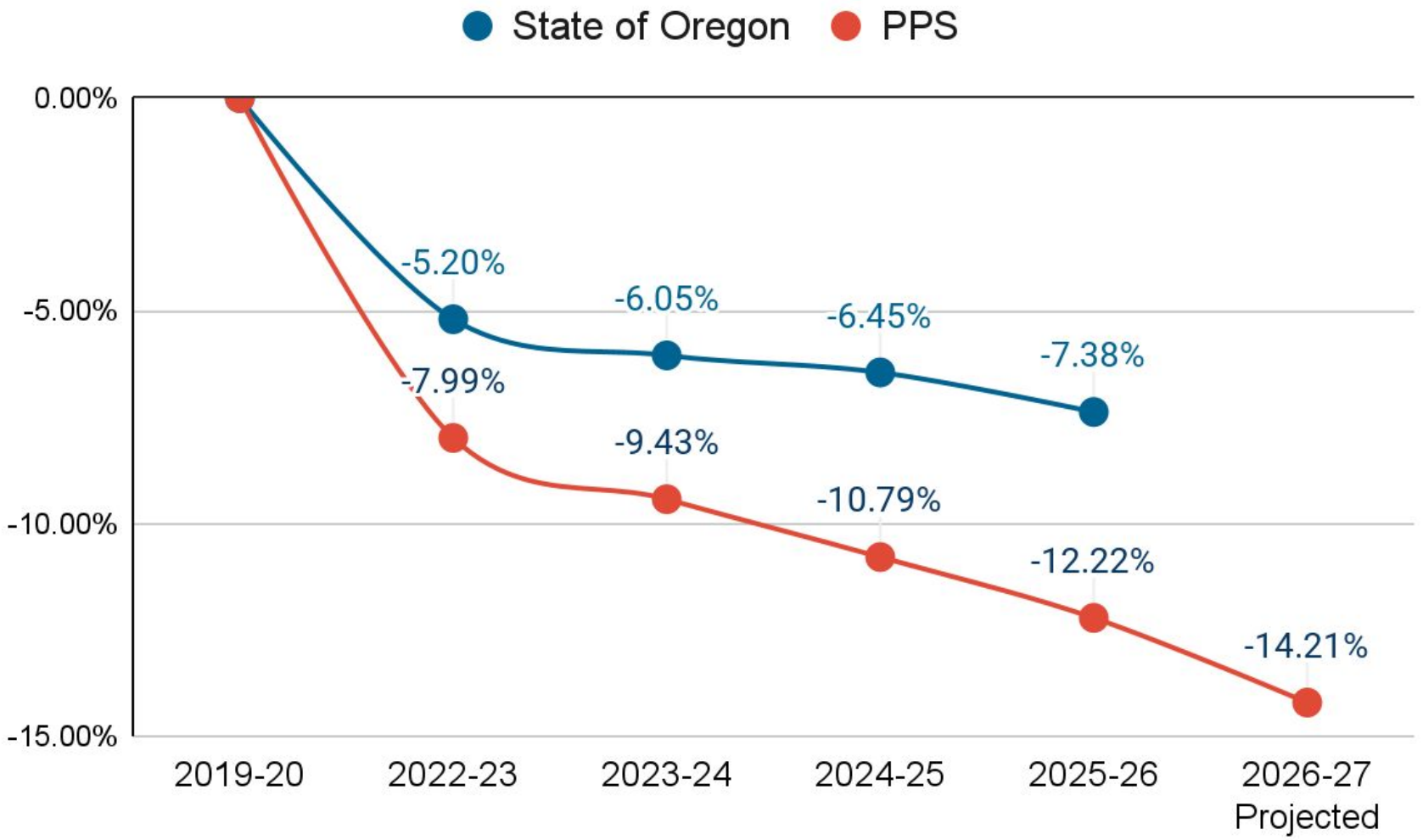
Since 2019-20, PPS's student enrollment has declined 12.2%, faster than Oregon's (7.4%), and is projected to continue to decline.

Enrollment Forecast

- Actual and state-funded student counts will drop:
  - **Actual Daily Membership (ADMr): Decreasing from 42,467 to 41,661.**
  - **Weighted Enrollment (Extended ADMw): Decreasing from 52,392 to 51,390.**
- We continue to serve large numbers of Federally Qualified Underserved students
  - **Direct Certification percentage from 31.5% to 30.7% projected.**
  - **Multilingual learner students from 9.8% to 9.5%.**
  - **Students receiving Special Education Services from 17.1% to 17.0%.**

Enrollment Trends Over Time

State of Oregon Average compared to PPS (% Change from 2019-2020)



Revenue Assumptions

The District's estimate of available resources in 2026-27 is based on the following assumptions:

- Extended Average Daily Membership Weighted (ADMw): 51,390
- PPS' share of the second year State School Fund Distribution: $305.4 million
- Current year property tax revenue for 2026-27: $533.6 million, a 0.4% increase
- Local option revenue is estimated to be $103.9 million, a 4.8% decrease
- 1.8% increase in assessed value and a 95.0% collection rate based on historical receipts

Projections are based on the most recent information available. All estimates *will change* as additional actual information becomes available.

Revenue Assumptions (cont'd)

The District's estimate of available resources in 2026-27 is based on the following assumptions:

- The Multnomah Education Service District (MESD) pass-through or "Transit" dollars anticipated for 2026-27 is $3.8 million
- In February 2026, the District sold $660.0 million in voter approved bonds
- General Fund beginning fund balance: $41.0 million

Projections are based on the most recent information available. All estimates *will change* as additional actual information becomes available.

Expenditure Assumptions

The proposed expenditures for 2026-27 are based on the following assumptions:

- Compensation: Cost of Living Adjustment (COLA) + step
- Pension Rate- Public Employees Retirement System (PERS) employer contribution blended rate of 4.18% + 18.79% PERS Unfunded Actuarial Liability (UAL) = 22.97% payroll rate
- Insurance benefits will continue to increase based on current eligibility and recent experience

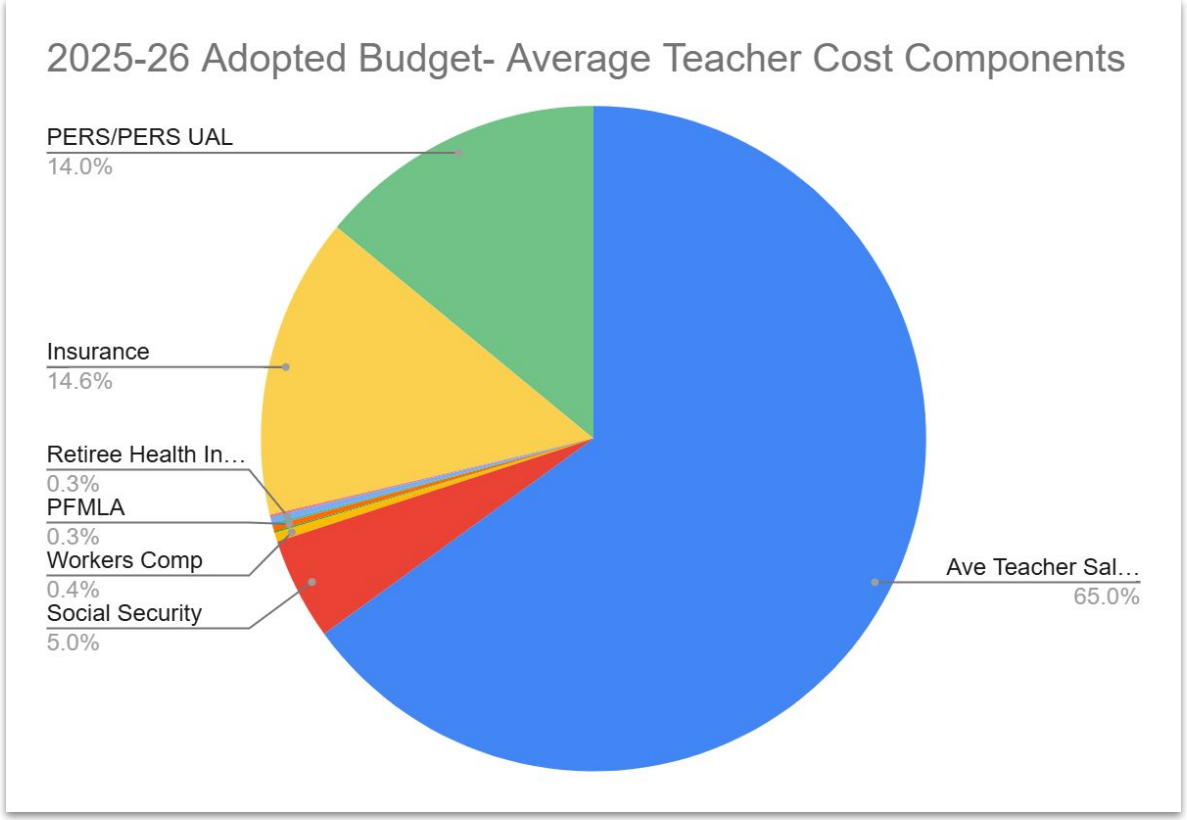
Projections are based on the most recent information available. All estimates *will change* as additional actual information becomes available.

Expenditure Assumptions (cont'd)

- Other employer labor costs vary by labor group and include:
  - 7.65% FICA
  - 0.39% Workers' Compensation
  - 0.39% Unemployment Compensation (self-funded)
  - 0.59% Paid Family Medical Leave (PFML)
  - 0.80% Other Employer Paid Benefits (Early Retirement, Retiree Health Insurance, Life, Long Term Disability, and Accidental Death & Dismemberment Insurance)
- Services, Supplies, and Other operational costs are projected to increase based on recent and forecasted trends

Projections are based on the most recent information available. All estimates *will change* as additional actual information becomes available.

Average Teacher Salary and Costs



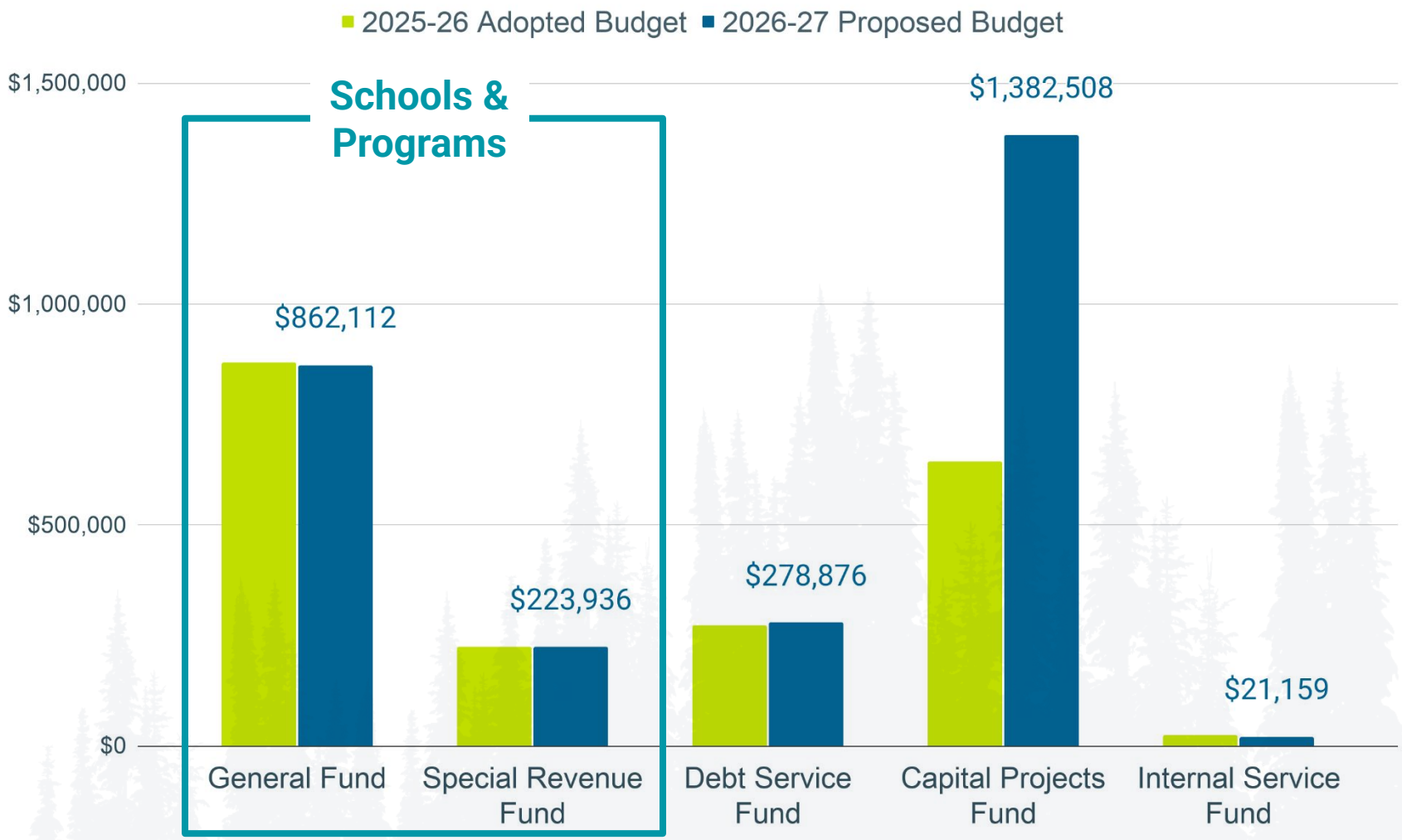
Ave Teacher Salary	$104,579
Social Security	$8,000
Workers Comp	$711
Unemployment Comp	$105
PFMLA	$471
Other Employer Paid Benefits	$188
Retiree Health Insurance	$492
Early Retirement Benefits	$167
Insurance	$23,561
PERS/PERS UAL	$22,578
Total Cost Per FTE	**$160,851**

TOGETHER, WE RISE

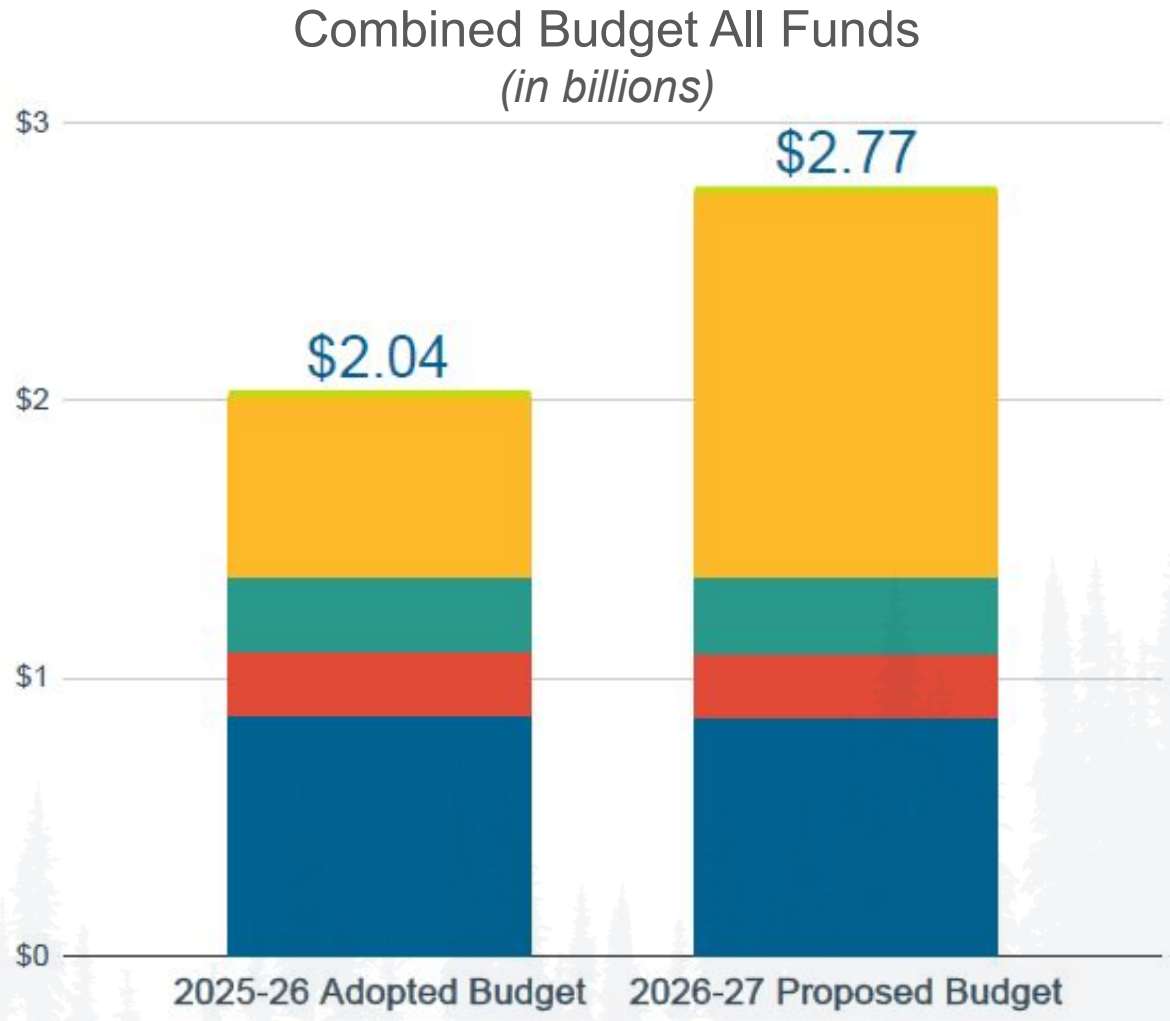
WITH **EXCELLENCE.** WITH **PURPOSE.**

All Funds Overview

2026-27 Proposed Budget - All Funds (in thousands)



2026-27 Proposed Budget - All Funds



- ➔ Total All Funds **$2.77 Billion**
- ➔ **36% Increase** from the Current Year Budget
- ➔ Combined School and Program Budgets Decreasing 1%
- ➔ Capital Projects Funds Increasing 115%
- ➔ 12 Month CPI 3.1%

TOGETHER, WE RISE

WITH **EXCELLENCE.** WITH **PURPOSE.**

General Fund Overview

General Funds (100)

- Primary operating fund for the district, supporting the core of the educational experience.
- The most flexible resource, funding staff, instructional programs, and services that directly impact students.
- Health is closely tied to state funding levels and local property tax revenues.



General Fund Overview

Total Projected Resources: $862.1 million
Year-over-Year Change: -$6.5 million (.7%)

Revenue Increases +$27.6

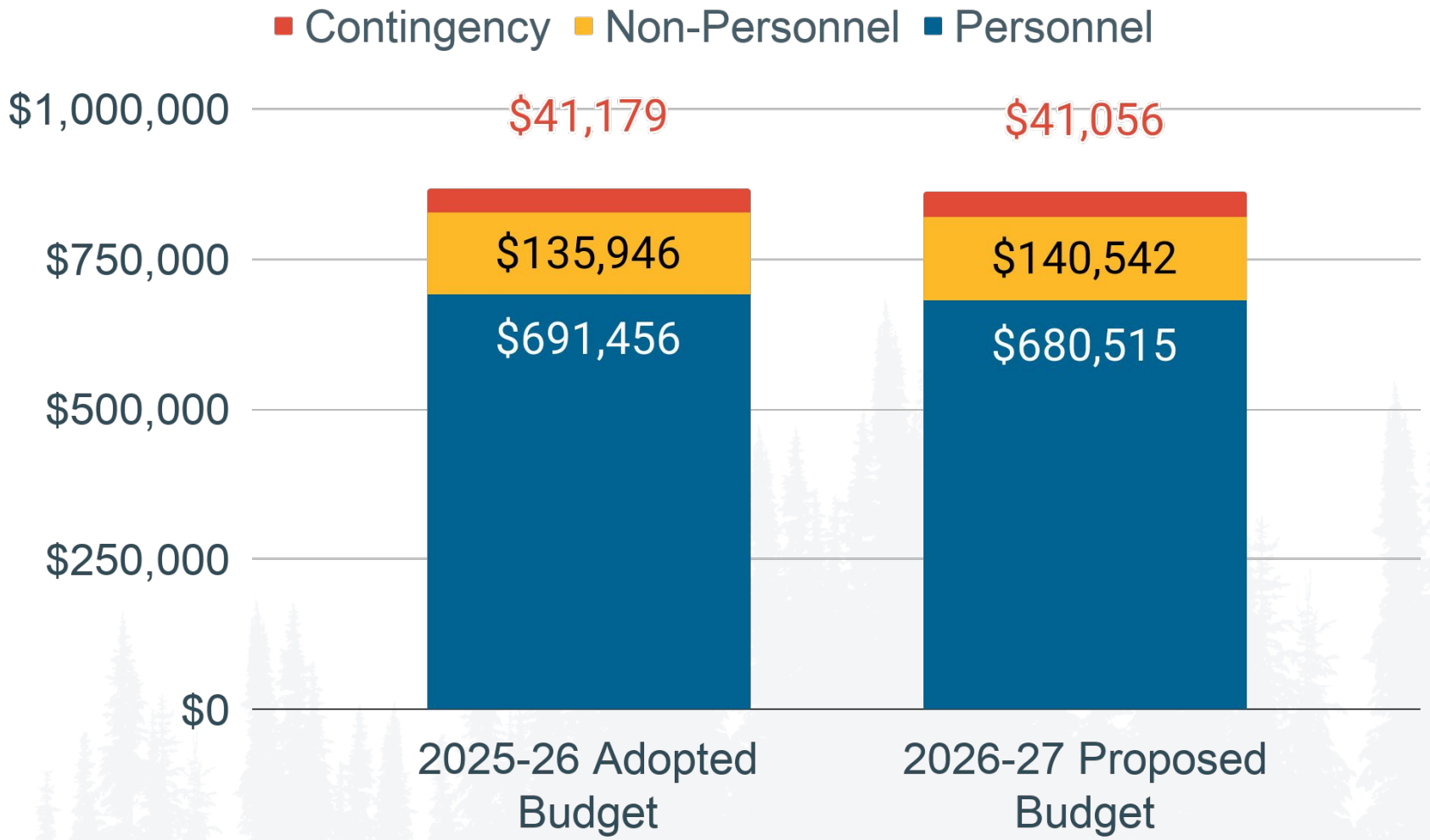
- Other Local +$2.9m
- Intermediate +$1.9m
- State School Fund +$19.9m
- Federal +$0.4m
- Sale of Fixed Assets +$2.5m

Revenue Decreases: -$34.0 million

- Beginning Fund Balance -$4.0m
- Property Taxes -$6.5m
- PERS Reserve Transfer -$23.5m

2026-27 Proposed Budget

General Fund (In Thousands)



Service Area Change from 2025-26 Adopted to 2026-27 Proposed

General Fund

Cost Center Area	FY26 Adopted Budget	FY27 Preliminary CSL*	Gap Closing Reductions	FY27 Proposed Budget
Building Supports	123,320,777	125,113,550	3,376,040	128,489,590
Central Office	88,936,591	89,474,106	-13,176,170	76,297,936
Schools	431,774,055	459,314,235	-20,469,284	438,844,951
Specialized Programs	166,525,728	172,989,450	-14,564,944	158,424,506
Transfers, Vacancy Savings, & Contingency	38,252,612	51,714,508	-10,636,943	41,077,565
Charter Schools Distribution	19,770,508	19,792,227	-814,719	18,977,508
Totals	868,580,271	918,398,076	-56,286,020	862,112,056

* CSL - Current Service Level represents the future cost of current service level activities and captures future rising costs

Largest Proportionate Impact to Central Office

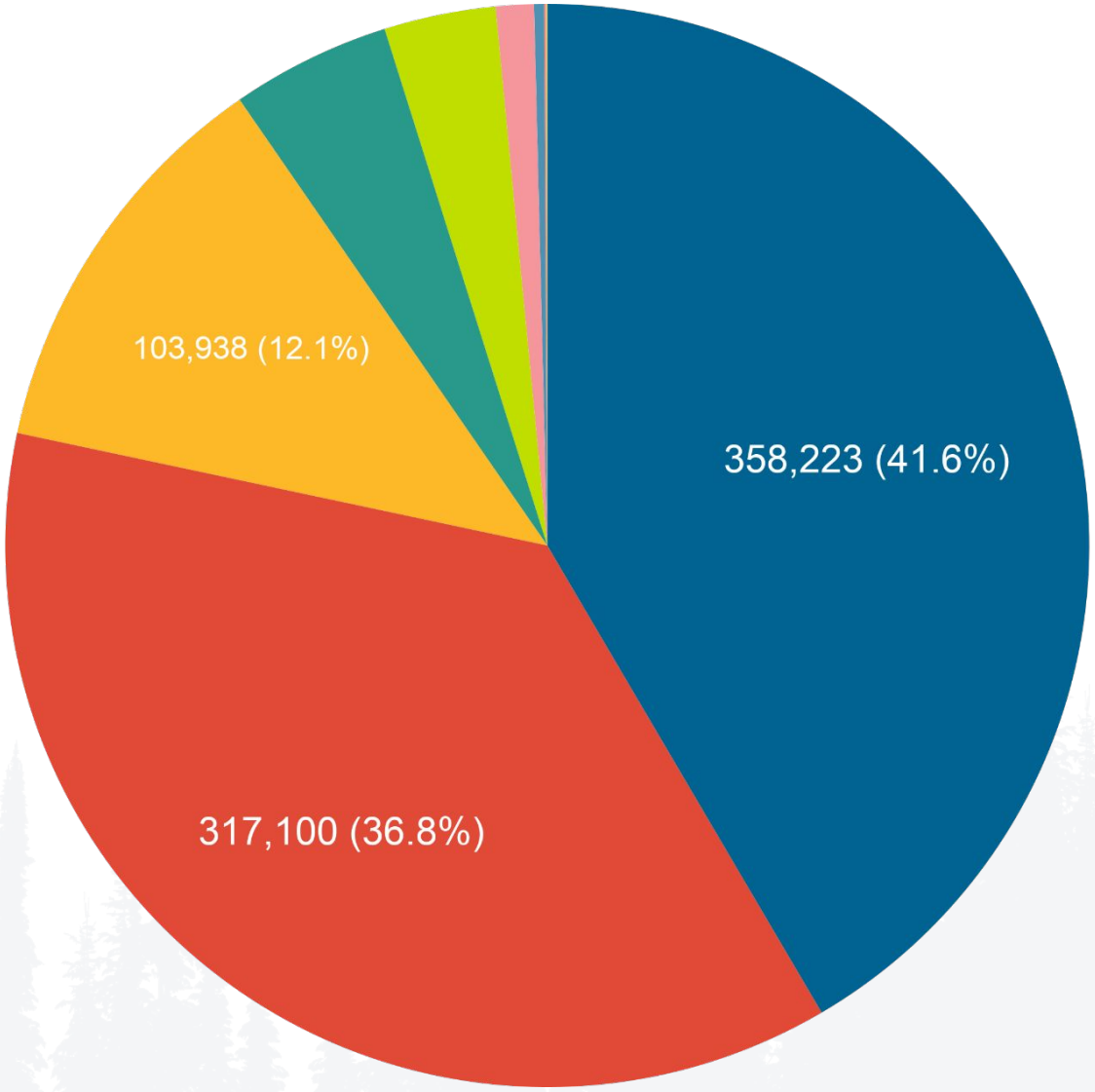
Cost Center Area	% Change from Budgeted FY 26	% Change from CSL* in FY27
Central Office	-14.21%	-14.82%
Schools	1.64%	-4.74%
Specialized Programs**	-4.86%	-8.75%
Building Supports	4.19%	2.74%

This budget strives to make cuts furthest away from schools.

* CSL - Current Service Level represents the future cost of current service level activities
** Some qualifying classified staff positions reclassified to the Student Investment Account Grant

2026-27 Proposed Budget: Funding Sources

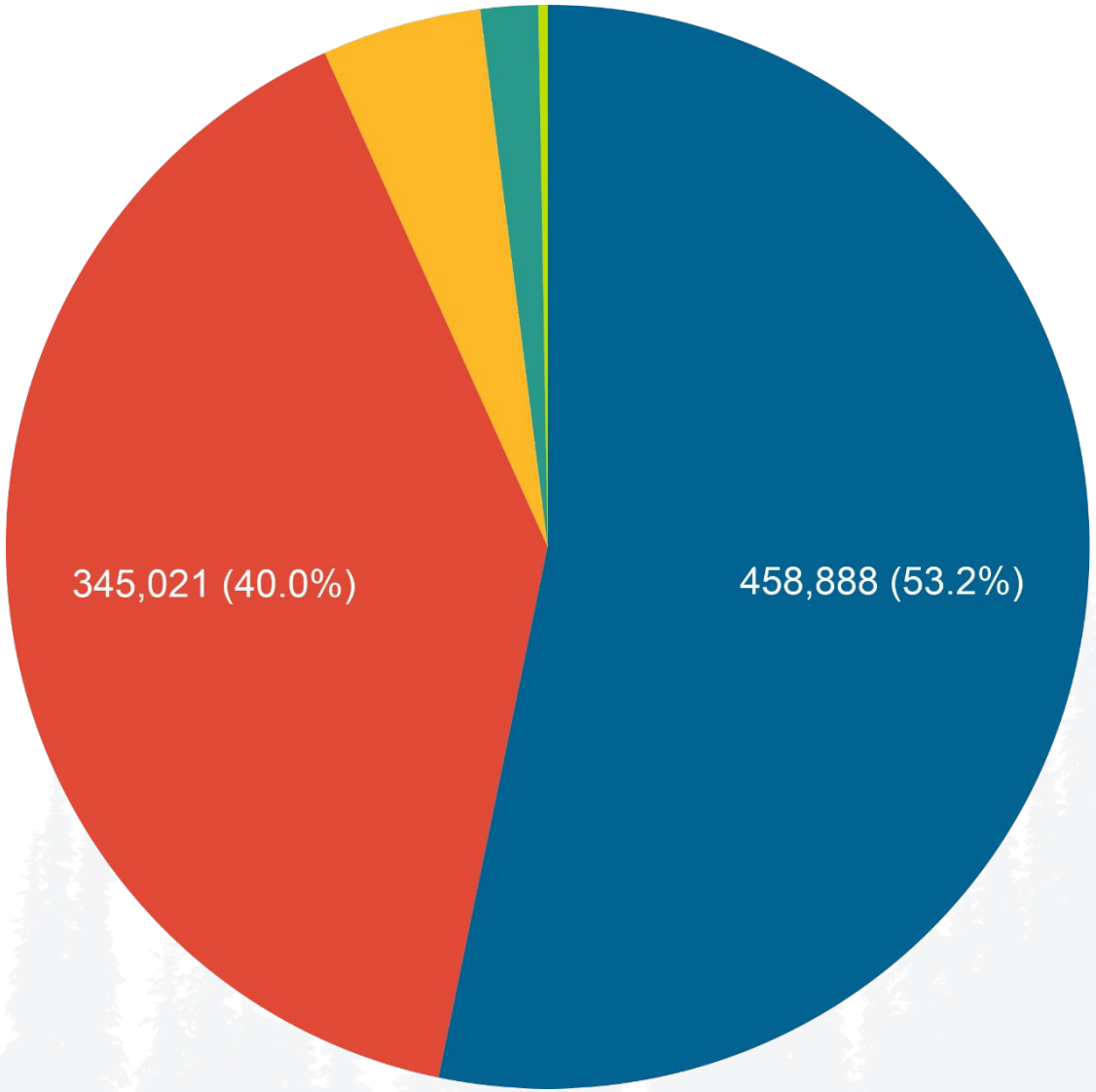
General Fund (In Thousands)



- ➔ Total Resources **$862.1 Million**
- ➔ Decreased $6.5 Million
- ➔ State Sources Increase Moderately
- ➔ Local Option and Property Taxes Decrease

2026-27 Proposed Budget: By Category

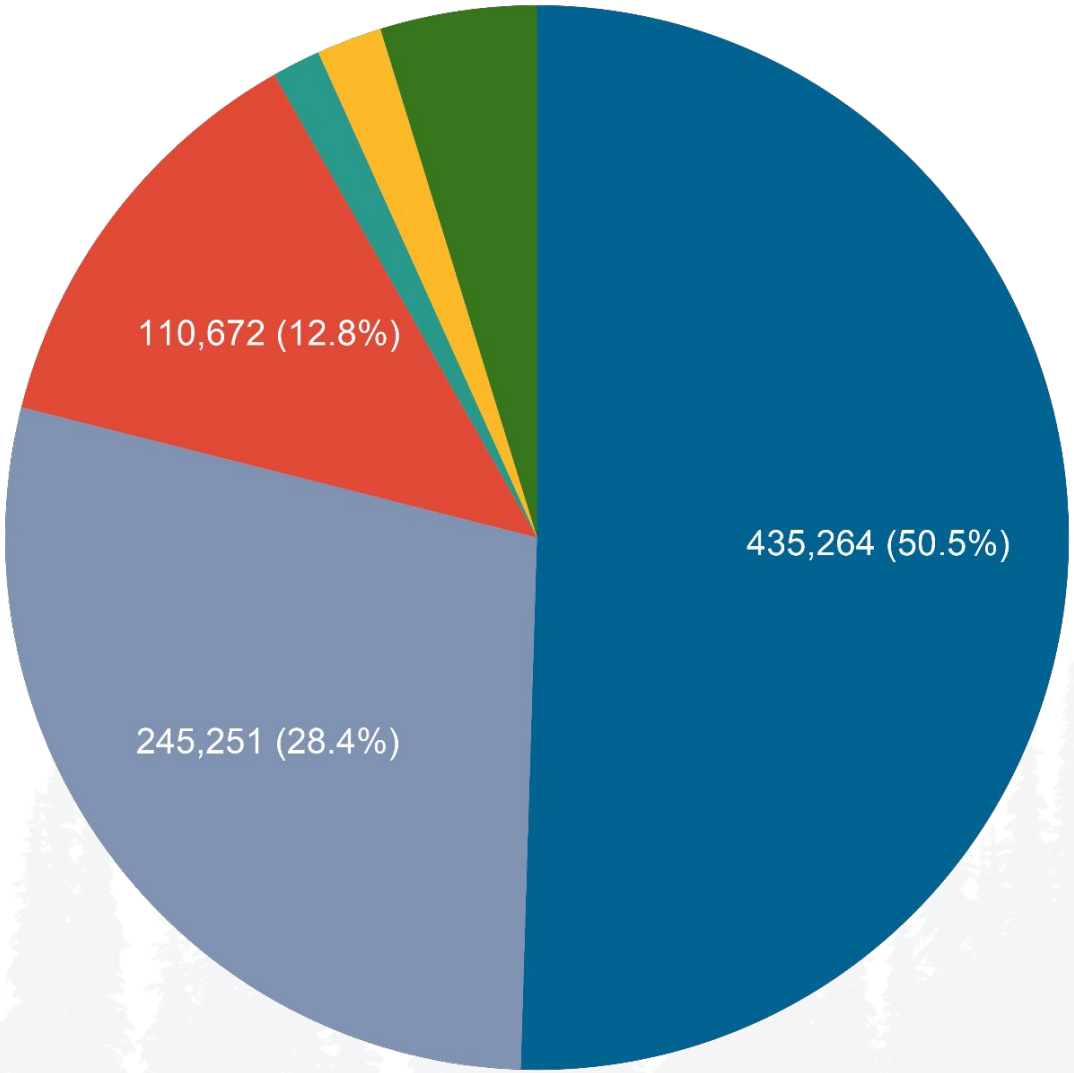
General Fund (In Thousands)



- ➔ Total Requirements **$868.6 Million**
- ➔ General Fund FTE Reduced 336 or 7%
- ➔ Support Services FTE Reduced 10%
- ➔ Instruction FTE Reduced 5%

2026-27 Proposed Budget: Associated Expenses

General Fund (In Thousands)



- SALARIES
- ASSOCIATED PAYROLL COSTS
- PURCHASED SERVICES
- SUPPLIES AND MATERIALS
- CAPITAL OUTLAY, TRANSFERS, AND OTHER OBJECTS
- CONTINGENCY

➔ Total Requirements **$868.6 Million**

➔ General Fund FTE Reduced 336 or 7%

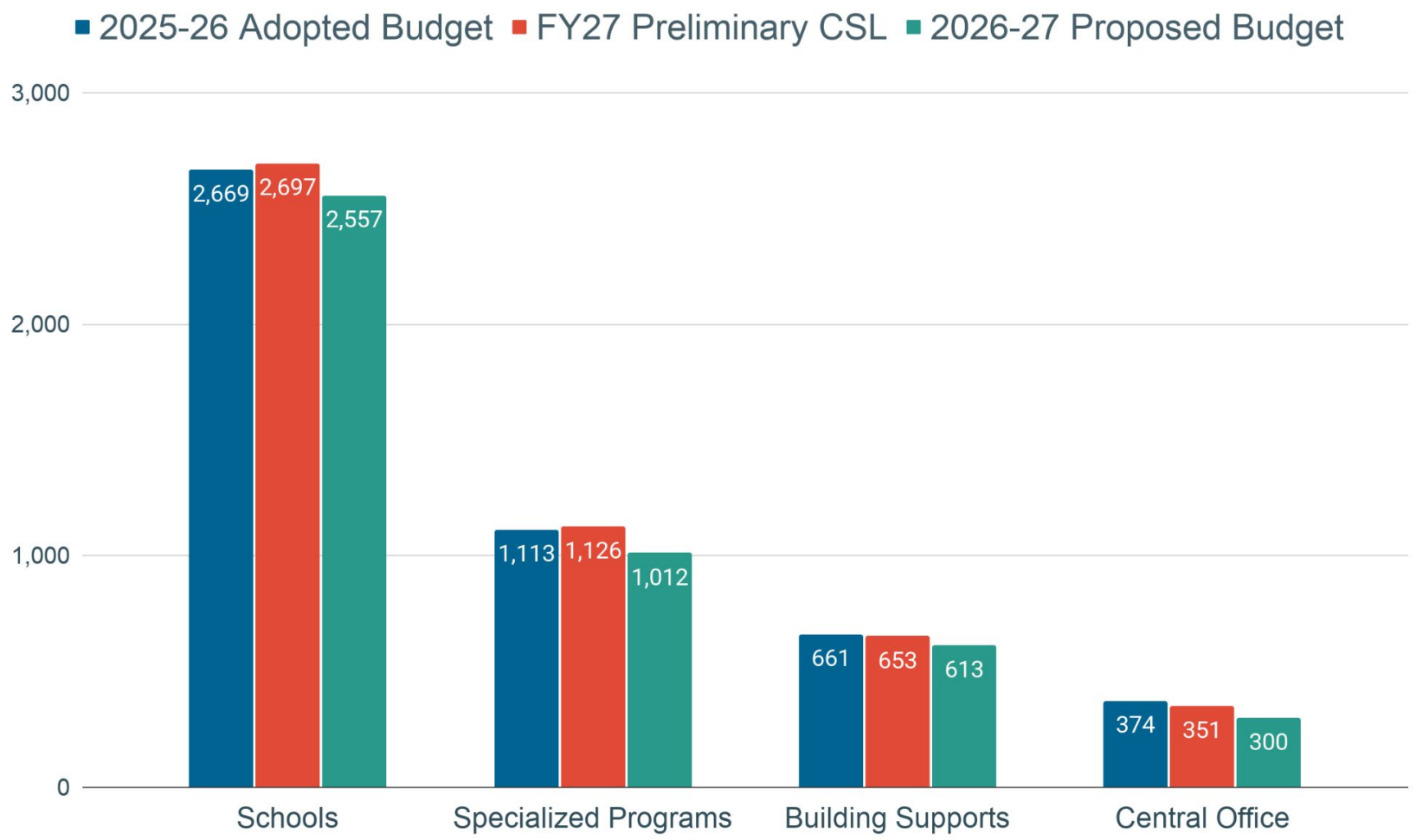
TOGETHER, WE RISE

WITH **EXCELLENCE.** WITH **PURPOSE.**

Schools & Specialized Program Staffing

FTE Changes

General Fund



- Total General Fund **4,481 FTE**
- **7% Decrease from Current Service Level**
- Central Office 15% Decrease
- Specialized Programs 10% Decrease
- Building Supports 6% Decrease
- Schools 5% Decrease

* CSL - Current Service Level represents the future cost of current service level activities

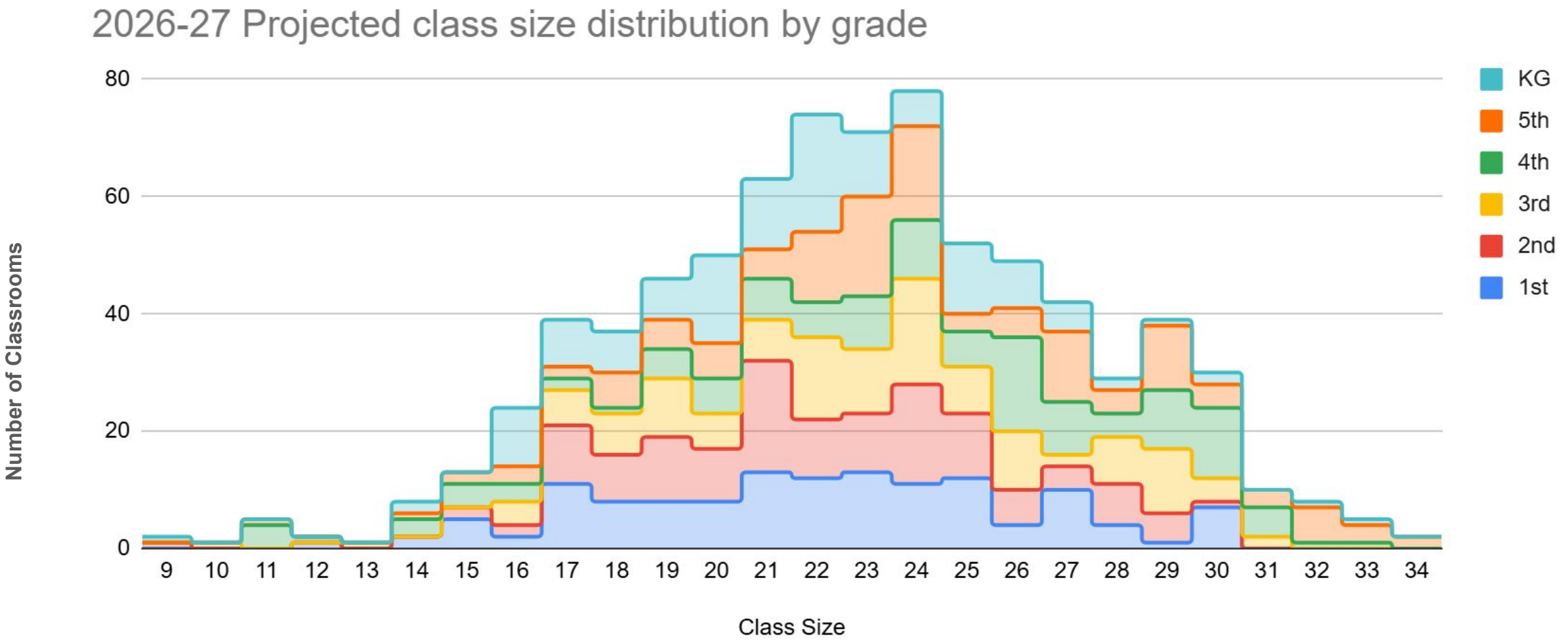
2026-27 School Staffing

Promoting
School Flexibility, Stability, and System-Wide Sustainability

2026-27 Budget Development Preliminary Report

- ➔ School staffing changes have been applied at all school levels.
- ➔ Elementary blends and middle and high school ratios have changed.
- ➔ Strategic school supports are targeted in Title I schools.
- ➔ Schools were given discretionary FTE to allow principals to accommodate the needs in their schools.

2026-27 Projected Elementary Class Sizes



General Fund

School & Specialized Program Cost Center Staffing Changes (FTE)

Cost Center Area	FY26	FY27 Preliminary CSL*	Gap Closing Reductions	FY27
Schools				
Licensed	2,275	2,296	(128)	2,168
Classified - Represented	224	232	(4)	228
Non-Represented	17	16	(1)	15
Administrators	153	153	(7)	146
Specialized Programs				
Licensed	537	537	(8)	529
Classified - Represented **	505	520	(93)	427
Non-Represented	44	43	(8)	34
Administrators	27	26	(5)	21
Totals	**3,782**	**3,822**	**(254)**	**3,569**

* CSL - Current Service Level represents the future cost of current service level activities
** Some qualifying classified staff positions reclassified to the Student Investment Account Grant

TOGETHER, WE RISE

WITH **EXCELLENCE.** WITH **PURPOSE.**

Central Office & Building Support Staffing

2026-27 Central Office

Prioritization, Streamlining, and System-Wide Sustainability

- Central Office personnel and non-personnel budgets will be reduced.
- Personnel reductions impact multiple employee groups and functions.
- Restructure
  - The Central Office organizational structure has been streamlined.
- Non-personnel reductions are focused in:
  - Contracted services
  - Professional development
  - Travel

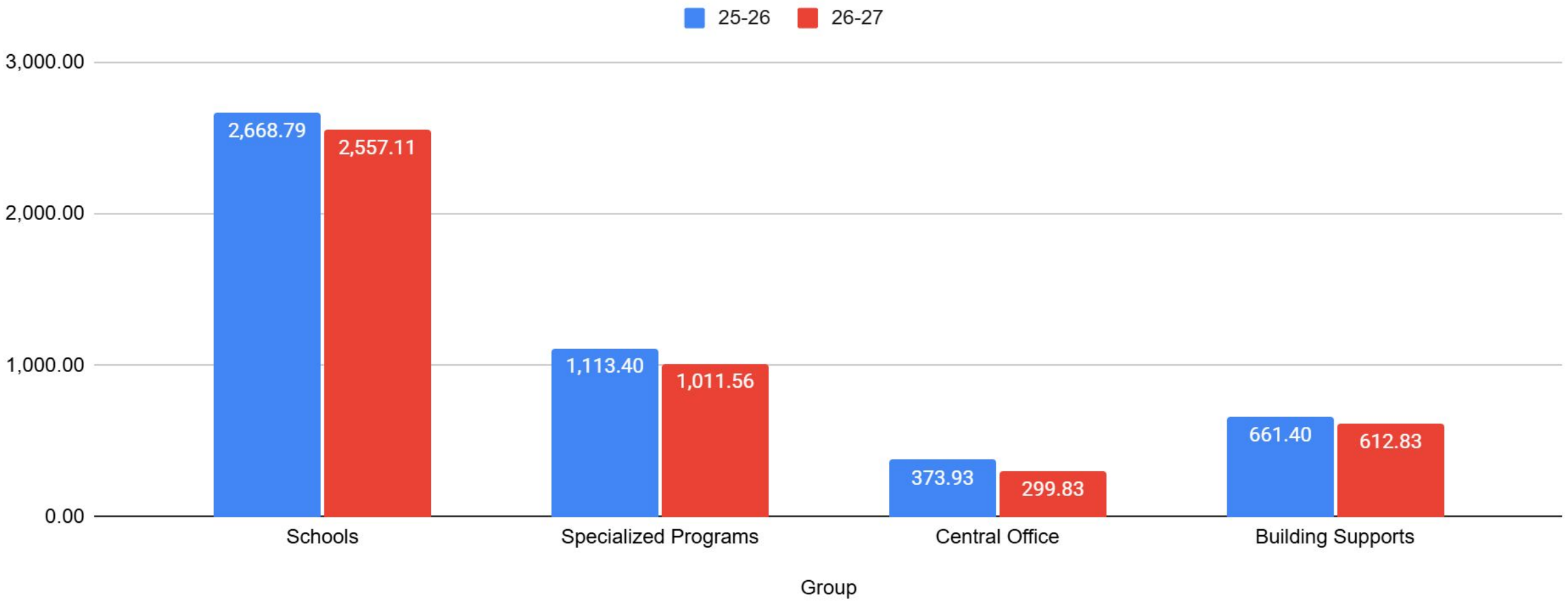
General Fund

Central Office & Building Supports Cost Center Staffing Changes (FTE)

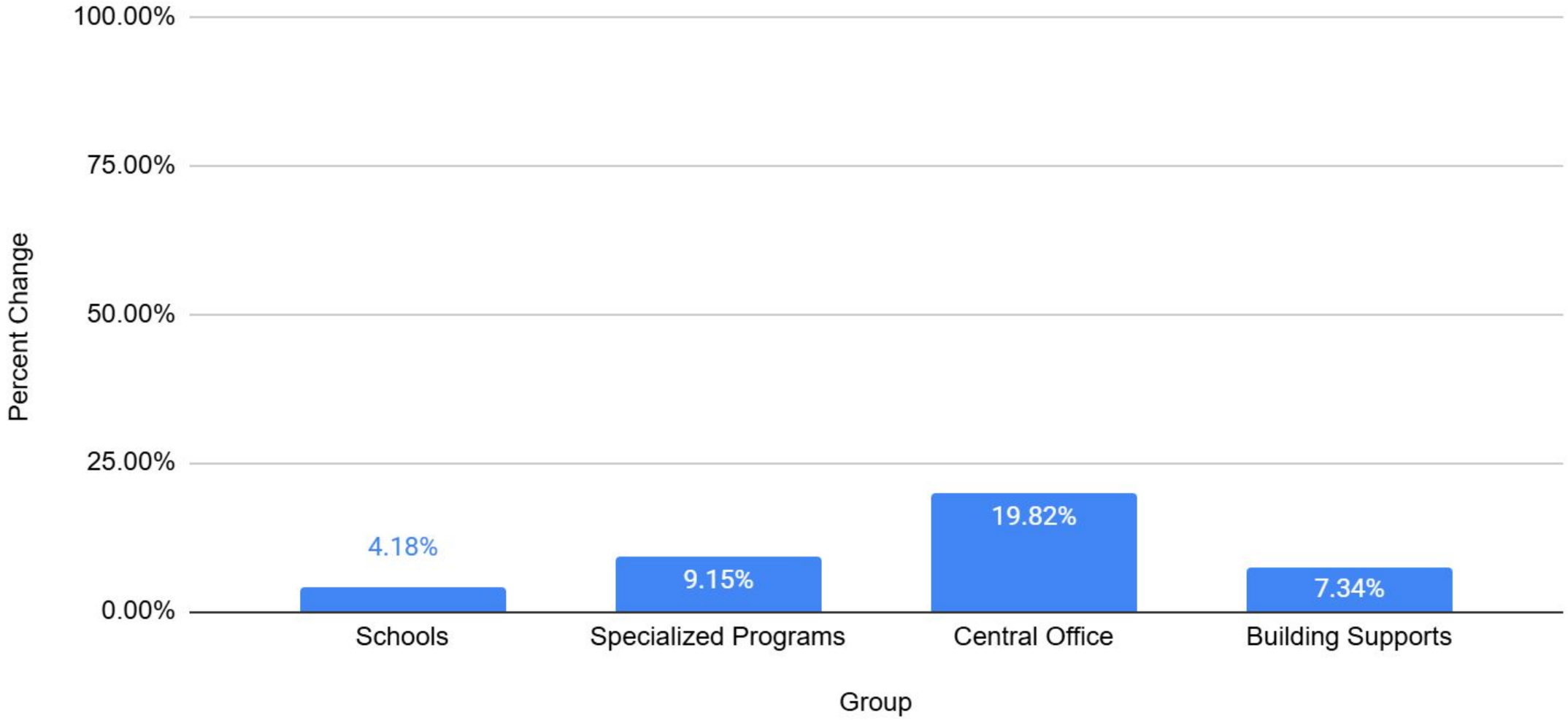
Cost Center Area	FY26	FY27 Preliminary CSL*	Gap Closing Reductions	FY27
Central Office				
Licensed	29	24	(3)	21
Classified - Represented	47	36	(1)	36
Non-Represented	245	238	(28)	211
Administrators	54	53	(21)	33
Building Supports				
Classified - Represented	600	597	(32)	565
Non-Represented	62	56	(8)	48
Totals	**1,035**	**1,004**	**(91)**	**913**

* CSL - Current Service Level represents the future cost of current service level activities

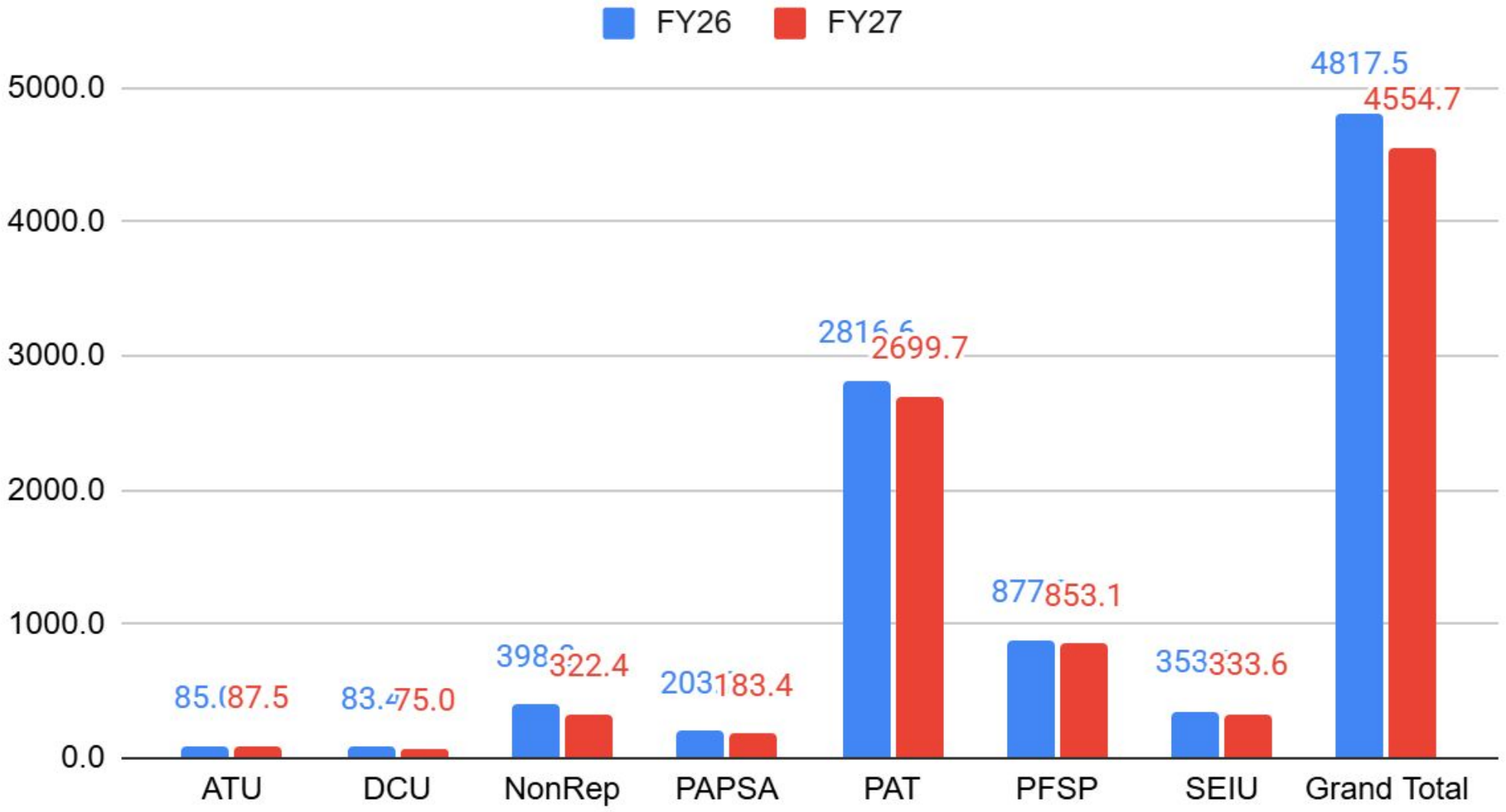
FTE Change by Category



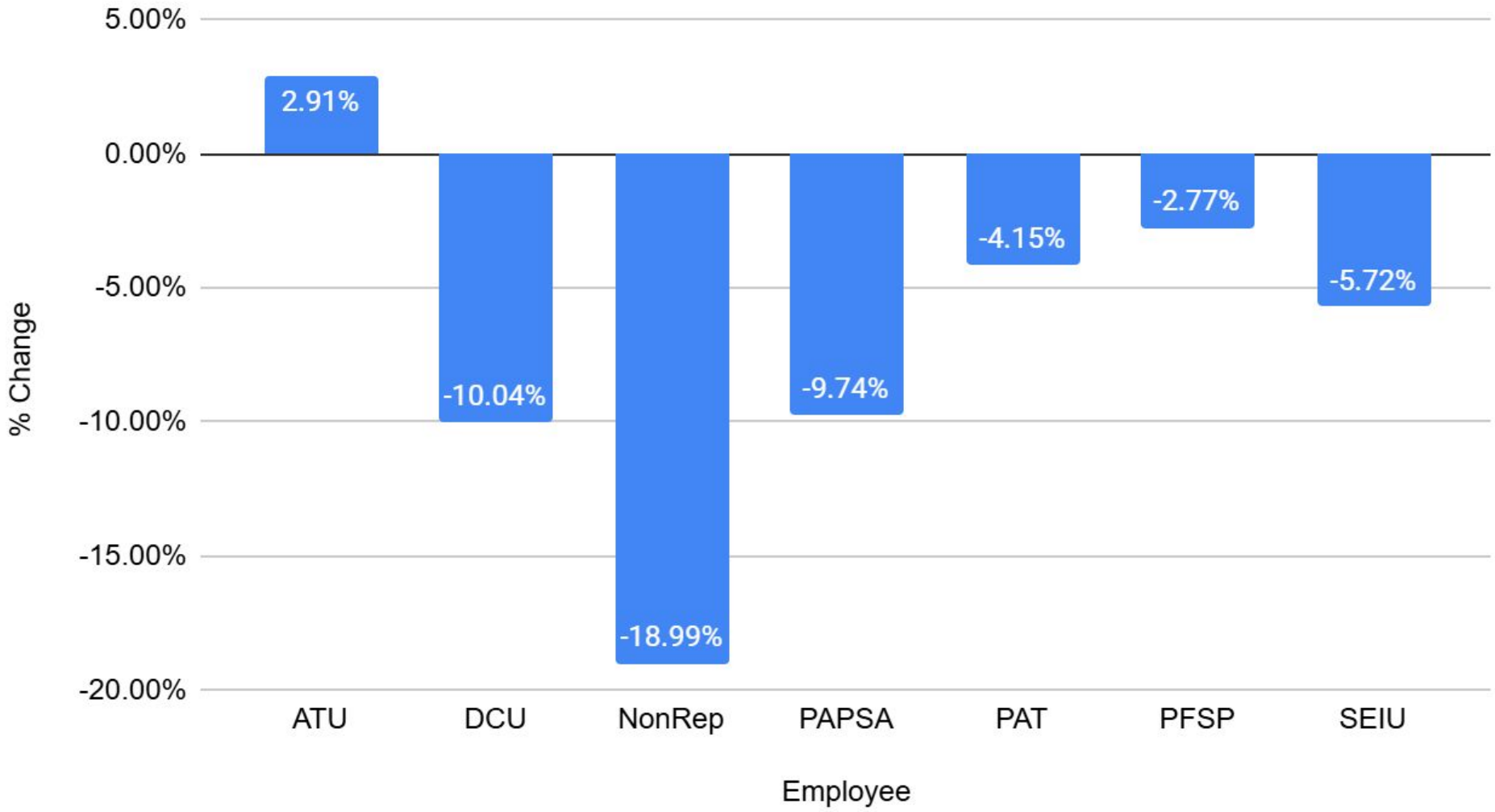
Percent Reduction from 25-26 to 26-27



FTE Change by Employee Group



% Change by employee group



Bridging the Gap: Contingencies & Risks

The 2026-27 Budget assumes the following contingencies and risks:

- ➔ Assumptions around negotiations and staffing costs
- ➔ Maintain a minimal 5% contingency (fund balance target)
- ➔ No reserves are available to support operational overages
- ➔ Continued restrictions on spending and Central Office hiring
- ➔ Delay of bus purchases
- ➔ Sale of fixed assets

Any additional services or staffing not included in the budget will require identifying an equal or greater offset.

The budget is a *plan*, if our situation changes, this plan would also change.

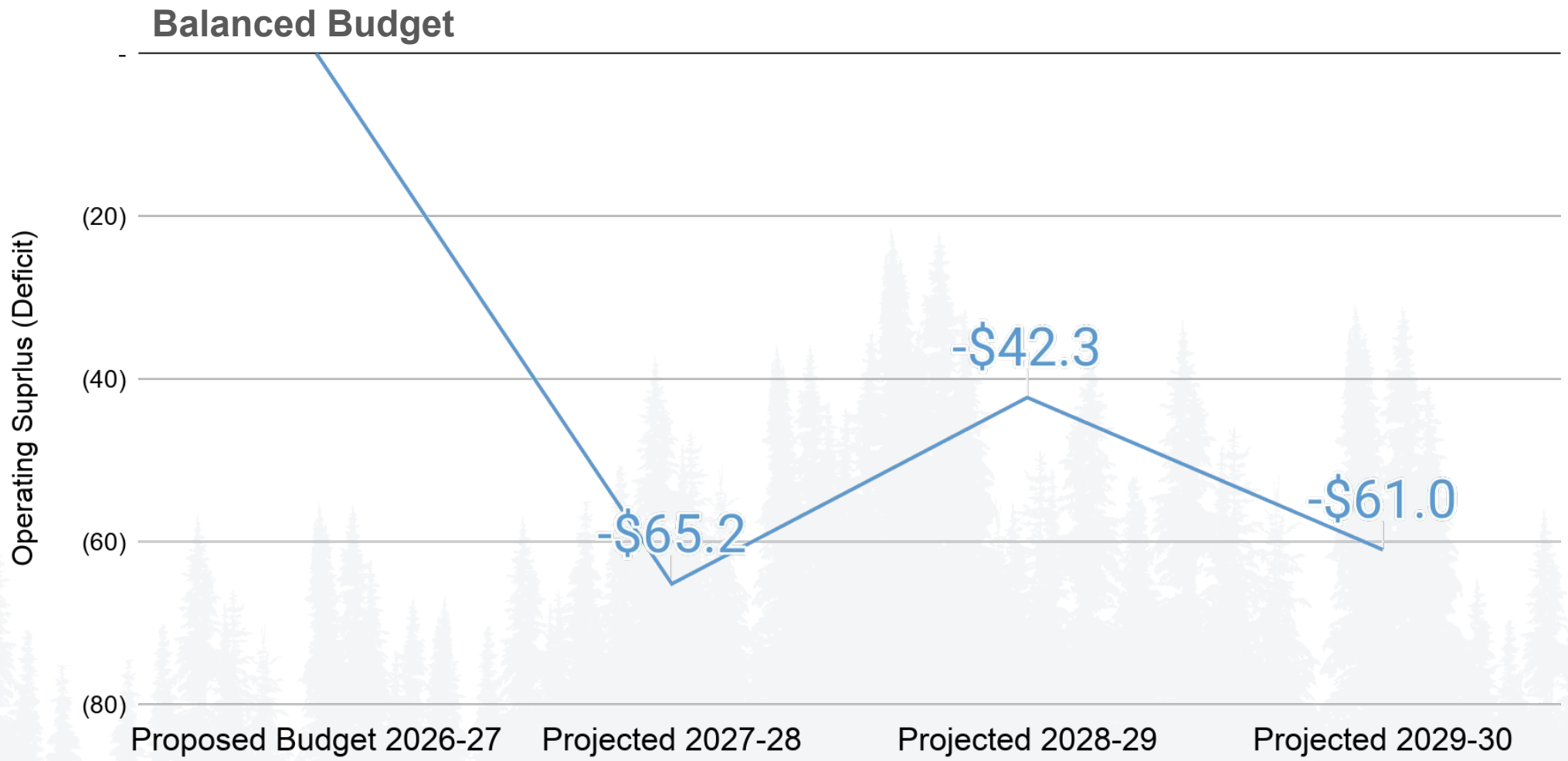
TOGETHER, WE RISE

WITH **EXCELLENCE.** WITH **PURPOSE.**

General Fund Forecast

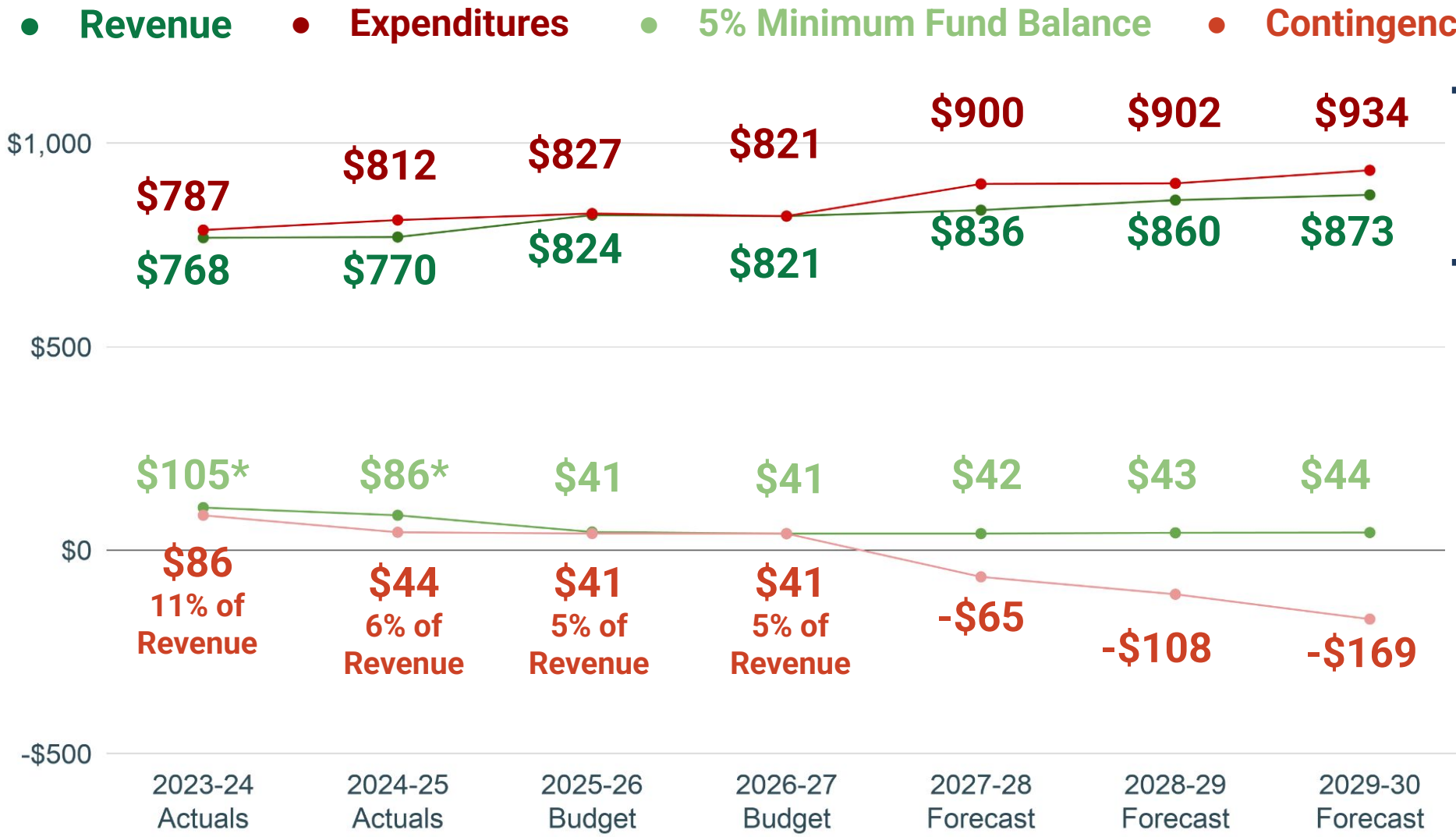
2026-27 General Fund Forecast (non-cumulative)

Operating Surplus (Deficit) (In Thousands)



2026-27 General Fund Forecast (cumulative)

(In Millions)



→ Expenses are increasing faster than revenue.

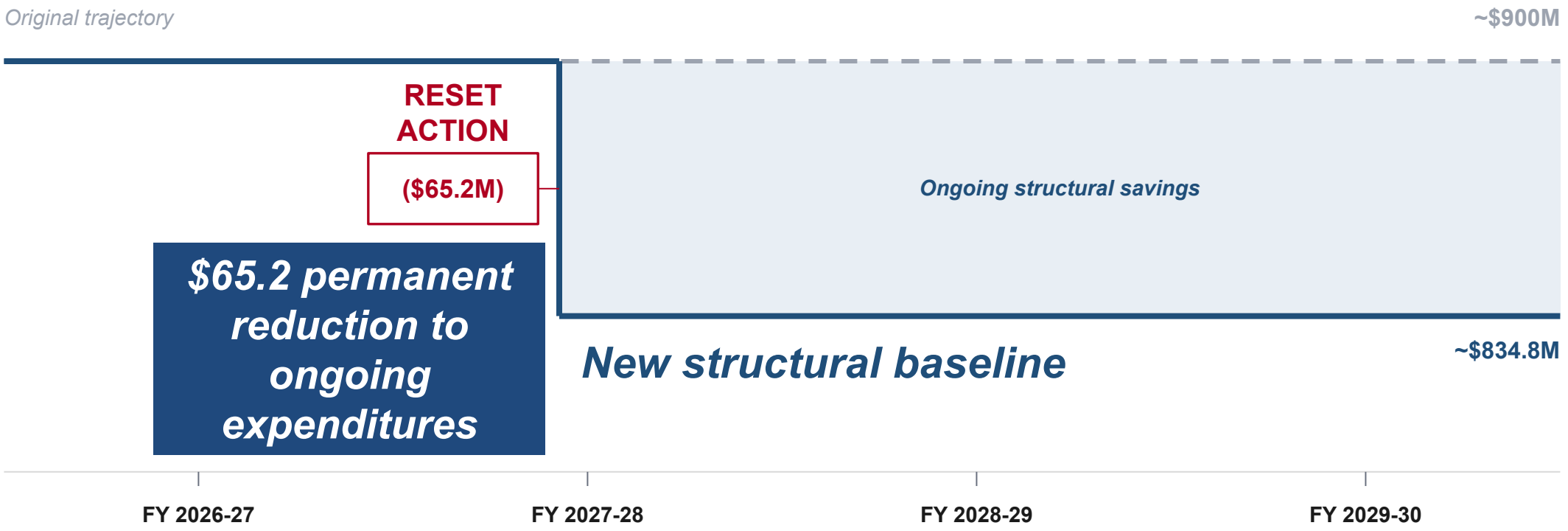
→ If no action Is taken, reserves are depleted and the budget deficit will compound every year.

DRAFT: Estimates are preliminary.

* Reflects Actual Fund Balance

The Reset Lowers the Expenditure Ceiling

Illustrative ongoing expenditure base — before and after the reset



The reset is a permanent step-down. Every future budget is built from the new ~$834.8M baseline, not the prior trajectory.

Multi-Year Service Level Reductions (in millions)

2023-24 CSL Reductions	2024-25 CSL Reductions	2025-26 CSL Reductions	2026-27 CSL Reductions	Projected 2027-28 Reductions
-$10.0	-$40.0	-$43.0 (original) -$22.5 (mid-year) -$65.5 Total	-$56.3	-$65.2

- ➔ CSL - Current Service Level represents the future cost of current service level activities
- ➔ From 2023-24 to 2026-27, PPS has experienced service level reductions totaling $171.8 million
- ➔ 2026-27 CSL Reductions are in addition to the contingencies and risks that have been identified

2027-29 Budget Deficit Factors

- Revenue
  - Flat Local Revenue
  - Undetermined State School Fund Appropriations (model assumes a 7.5% increase) and enrollment decline
  - 5% minimum beginning fund balance
  - No additional (new) resources
- Expenditures
  - Projections for wages and benefits based on recent history
  - NEW PERS employer rates (2024 advisory rate increases from 4.18% to 20.82%)
  - Services, Supplies, and Other operational costs are projected to increase based on recent and forecasted trends

Projections are based on the most recent information available. All estimates *will change* as additional actual information becomes available.

Questions & Discussion

TOGETHER, WE RISE

WITH **EXCELLENCE.** WITH **PURPOSE.**

Timeline & Next Steps

Board Adoption Timeline: Spring 2026

Date	Milestone
April 28, 2026	Board Meeting: Superintendent Delivers the 2026-27 Proposed Budget
May 12, 2026	Community Budget Review Committee Presents Reports to School Board
May 13, 2026	School Board Public Comment Session on the 2026-27 Proposed Budget (Benson High School)
May 26, 2026	Board Meeting: School Board as a Budget Committee Approves the 2026-27 Proposed Budget
June 23, 2026	TSCC Hearing: Tax Supervising and Conservation Commission Certifies the 2026-27 Approved Budget
June 23, 2026	Board Meeting: School Board Adopts the Approved 2025-26 Budget

Public Comment

publiccomment@pps.net

Submit Public Comment to the Board of Education



Appendix

2026-27 School Staffing

- ➔ School staffing changes have been applied **at all school levels**
  - ◆ **Class Size changes were made at all levels**, but not significant
    - MS and HS ratios changed and more K-5 Blends were added
  - ◆ Equity formula for Combined Underserved changed to **Federally Qualified Underserved**
    - Only includes Special Education, Multilingual Learners, and Direct Certification
  - ◆ **Flexibility was added** at all levels, as Discretionary FTE was allocated, with Principals having discretion as to how to use the FTE
  - ◆ **Enrollment decline** continues to contribute to part of school-based FTE reductions
  - ◆ **Counselor ratios changed** to 350:1, with a minimum of 1.0 Counselor
  - ◆ Instructional Coaches and Interventionists were reduced.
  - ◆ 0.2 FTE **Classified Safety and Support position in K5, K8, MS** was added
  - ◆ **Harm reduction FTE** was allocated where schools would see more than 10% FTE reduction
- ➔ **Pre-Kindergarten** programming is continuing at the same level

2026-27 School Staffing

- **Elementary School and K8 School**
  - Grade levels will be blended in 1/2 and 4/5 with school-based flexibility to blend based on school-specific needs
  - Kindergarten Educational Assistants continue for Title I schools
  - Non-formula APs were removed
  - Academic interventionists and High Impact Tutoring were reduced but allocated to Title 1 schools and others based on need
  - Instructional Coaches were removed with schools having a discretionary FTE to choose support based on needs
- **Middle School**
  - Teacher allocation base was changed for both Title I and non-Title I
  - Dual Language Immersion supplemental resources are aligned to enrollment-based need
  - 0.4 Interventionist was allocated to all Title I schools

2026-27 School Staffing

- **High School**
  - High school teacher allocation ratio and base were changed
  - All receive a 1.0 Librarian and 1.0 Social Worker
  - All receive Equity and Discretionary FTE and can use it as best needed for the school, as prescriptive allocations have been removed to support the Discretionary allocation
  - High schools continue to receive High School Success (M98) FTE, but have more flexibility is the use of the FTE
- **Multilingual Learners**
  - Itinerant staff **will continue** to provide support to schools with fewer students needing services, with an additional itinerant position added
  - The staffing ratio was increased for both teachers and EAs
- **Special Education**
  - Special Education staffing is enrollment-based; *no ratio changes are planned for next year*

Reserves: A Household Example

	Year 1 2024-25	Year 2 2025-26	Year 3 2026-27
Savings - Start of Year	**$10,000 (10%)**	**$7,000 (7%)**	**$5,000 (5%)**
Annual Income (+)	**$100,000**	**$100,000**	**$100,000**
Annual Expenses (-)	**$103,000**	**$102,000**	**$100,000**
Savings - End of Year	**$7,000**	**$5,000**	**$5,000**